Solution

In the books of Selvi
Accounting Equation

Transaction	Assets				Capital ₹	Bank loan ₹
	Cash ₹	Stock ₹	Bank ₹			
(i) Started business with cash	+1,00,000			=	+1,00,000	
Equation	**+1,00,000**				**+1,00,000**	
(ii) Deposited cash with bank	– 60,000		+60,000			
Equation	**+40,000**		**+60,000**	=	**+1,00,000**	
(iii) Borrowed loan from bank			+25,000			+25,000
Equation	**+40,000**		**+85,000**	=	**+1,00,000**	**+25,000**
(iv) Bought goods and paid by cheque		+10,000	–10,000			
Equation	**+40,000**	**+10,000**	**+75,000**	=	**+1,00,000**	**+25,000**
(v) Cash withdrawn for personal use	– 5,000				–5,000	
Equation	**+35,000**	**+10,000**	**+75,000**	=	**+95,000**	**+25,000**
(vi) Cash withdrawn from bank for office use	+3,000		–3,000			
Equation	**+38,000**	**+10,000**	**+72,000**	=	**+95,000**	**+25,000**

Illustration 4

Show the effect of following business transactions on the accounting equation.

(i) Anbu started business with cash ₹ 20,000; goods ₹ 12,000 and machine ₹ 8,000
(ii) Purchased goods from Ramani on credit ₹ 7,000
(iii) Payment made to Ramani in full settlement ₹ 6,900
(iv) Sold goods to Rajan on credit costing ₹ 5,400 for ₹ 6,000
(v) Received from Rajan ₹ 5,800 in full settlement of his account
(vi) Wages outstanding ₹ 400

Solution

Accounting Equation

Transaction	Assets					Capital ₹	Liabilities ₹
	Cash ₹	Stock ₹	Machine ₹	Debtors ₹			
(i) Started business with cash, stock & machine	+20,000	+12,000	+8,000			+40,000	
Equation	**+20,000**	**+12,000**	**+8,000**		=	**+40,000**	
(ii) Credit purchases		+7,000					+7,000
Equation	**+20,000**	**+19,000**	**+8,000**		=	**+40,000**	**+7,000**
(iii) Payment made to Ramani in full settlement	–6,900					+100	–7,000
Equation	**+13,100**	**+19,000**	**+8,000**		=	**+40,100**	

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